



Bill Number: H.B. 2170

Payne Floor Amendment

Reference to: House engrossed bill

Amendment drafted by: Leg. Council

FLOOR AMENDMENT EXPLANATION

- Specifies that a company must certify to the Arizona Department of Administration that the company is not submitting a bid or proposal for a state contract for the express purpose of reselling to a state agency electronic or information technology from a company that is domiciled in the People's Republic of China.

PAYNE FLOOR AMENDMENT
SENATE AMENDMENTS TO H.B. 2170
(Reference to House engrossed bill)

Amendment instruction key:

[GREEN UNDERLINING IN BRACKETS] indicates text added to statute or previously enacted session law.

[Green underlining in brackets] indicates text added to new session law or text restoring existing law.

[GREEN STRIKEOUT IN BRACKETS] indicates new text removed from statute or previously enacted session law.

[Green strikeout in brackets] indicates text removed from existing statute, previously enacted session law or new session law.

<<Green carets>> indicate a section added to the bill.

<<Green strikeout in carets>> indicates a section removed from the bill.

1 The bill as proposed to be amended is reprinted as follows:

2 Section 1. Title 41, chapter 23, article 3, Arizona Revised
3 Statutes, is amended by adding section 41-2553, to read:

4 41-2553. State contracts; electronic or information
5 technology; certification letter; civil penalty;
6 exceptions; definitions

7 A. A COMPANY THAT IS DOMICILED IN THE PEOPLE'S REPUBLIC OF CHINA
8 AND THAT IS CONTROLLED BY OR IS MAJORITY OWNED BY THE GOVERNMENT, MILITARY
9 OR RULING POLITICAL PARTY OF THE PEOPLE'S REPUBLIC OF CHINA MAY NOT BID
10 ON, SUBMIT A PROPOSAL FOR OR ENTER INTO A CONTRACT WITH A STATE AGENCY FOR
11 ELECTRONIC OR INFORMATION TECHNOLOGY. EACH COMPANY THAT SUBMITS A BID OR
12 PROPOSAL FOR A STATE CONTRACT FOR ELECTRONIC OR INFORMATION TECHNOLOGY
13 SHALL SUBMIT A CERTIFICATION LETTER TO THE DEPARTMENT CERTIFYING THAT THE
14 COMPANY IS NOT A COMPANY THAT IS DOMICILED IN THE PEOPLE'S REPUBLIC OF
15 CHINA AND THAT THE COMPANY IS NOT [SUBMITTING THE BID OR PROPOSAL FOR A
16 STATE CONTRACT FOR THE EXPRESS PURPOSE OF] RESELLING [PRODUCTS] [TO A
17 STATE AGENCY ELECTRONIC OR INFORMATION TECHNOLOGY] FROM A COMPANY THAT IS
18 DOMICILED IN THE PEOPLE'S REPUBLIC OF CHINA.

19 B. IF THE DEPARTMENT DETERMINES THAT A COMPANY HAS KNOWINGLY
20 SUBMITTED A CERTIFICATION LETTER THAT IS FALSE, ALL OF THE FOLLOWING MUST
21 OCCUR:

22 1. THE COMPANY IS LIABLE FOR A CIVIL PENALTY OF \$100,000.

23 2. THE STATE AGENCY OR THE DEPARTMENT SHALL TERMINATE THE CONTRACT
24 WITH THE COMPANY.

25 3. THE COMPANY MAY NOT BID ON ANY STATE CONTRACTS FOR AT LEAST
26 SIXTY MONTHS.

1 C. NOTWITHSTANDING SUBSECTION A OF THIS SECTION, A STATE AGENCY MAY
2 ENTER INTO A CONTRACT FOR ELECTRONIC OR INFORMATION TECHNOLOGY
3 MANUFACTURED BY A COMPANY THAT IS DOMICILED IN THE PEOPLE'S REPUBLIC OF
4 CHINA IF BOTH OF THE FOLLOWING APPLY:
5 1. THERE ARE NO OTHER REASONABLE OPTIONS FOR THE PROCUREMENT OF THE
6 SPECIFIC ELECTRONIC OR INFORMATION TECHNOLOGY.
7 2. NOT PROCURING THE SPECIFIC ELECTRONIC OR INFORMATION TECHNOLOGY
8 WOULD POSE A GREATER THREAT TO THIS STATE THAN THE THREAT ASSOCIATED WITH
9 THE MANUFACTURE OF THE ELECTRONIC OR INFORMATION TECHNOLOGY BY A COMPANY
10 DOMICILED IN THE PEOPLE'S REPUBLIC OF CHINA.
11 D. FOR THE PURPOSES OF THIS SECTION:
12 1. "COMPANY":
13 (a) MEANS ANY OF THE FOLLOWING THAT EXISTS FOR THE PURPOSE OF
14 MAKING A PROFIT:
15 (i) A SOLE PROPRIETORSHIP.
16 (ii) AN ORGANIZATION.
17 (iii) A CORPORATION.
18 (iv) AN ASSOCIATION.
19 (v) A PARTNERSHIP.
20 (vi) A JOINT VENTURE.
21 (vii) A LIMITED PARTNERSHIP.
22 (viii) A LIMITED LIABILITY PARTNERSHIP.
23 (ix) A LIMITED LIABILITY COMPANY.
24 (x) ANY OTHER ENTITY OR BUSINESS ASSOCIATION.
25 (b) INCLUDES EITHER OF THE FOLLOWING:
26 (i) A WHOLLY OWNED SUBSIDIARY.
27 (ii) A MAJORITY OWNED SUBSIDIARY.
28 2. "CONTROLLED":
29 (a) HAS THE SAME MEANING PRESCRIBED IN THE INVESTMENT COMPANY ACT
30 OF 1940 (15 UNITED STATES CODE SECTION 80a-2).
31 (b) IN THE CASE OF A COMPANY THAT IS DOMICILED IN THE PEOPLE'S
32 REPUBLIC OF CHINA, MEANS INVOLVEMENT IN AN ENTITY'S GOVERNANCE STRUCTURE,
33 MONITORING OR INTERNAL HUMAN RESOURCES DECISIONS CONSISTENT WITH THE
34 OBJECTIVES PRESCRIBED IN THE "OPINION ON STRENGTHENING THE UNITED FRONT
35 WORK OF THE PRIVATE ECONOMY IN THE NEW ERA" ISSUED BY THE GENERAL OFFICE
36 OF THE CHINESE COMMUNIST PARTY CENTRAL COMMITTEE OR A SUCCESSOR OR SIMILAR
37 DOCUMENT.
38 3. "DOMICILE" MEANS ANY OF THE FOLLOWING:
39 (a) THE COUNTRY WHERE A COMPANY IS REGISTERED, INCORPORATED,
40 HEADQUARTERED, ISSUED OR LISTED.
41 (b) THE COUNTRY WHERE THE COMPANY'S AFFAIRS ARE PRIMARILY
42 COMPLETED.
43 (c) THE COUNTRY WHERE THE MAJORITY OF OWNERSHIP SHARE IS HELD.

Senate Amendments to H.B. 2170

1 4. "ELECTRONIC OR INFORMATION TECHNOLOGY" HAS THE SAME MEANING
2 PRESCRIBED IN SECTION 18-131.

3 Sec. 2. Short title

4 This act may be cited as the "Protection Procurement Act".

5 Enroll and engross to conform

6 Amend title to conform

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